

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

CASE

Kalmia Holdings Limited ("Kalmia") and its subsidiaries ("Kalmia Group") are principally engaged in the beauty industry. Kalmia Group has a financial year end date of 30 June and apply Hong Kong Financial Reporting Standards in the preparation of financial statements.

The beauty industry has been criticised for its heavy reliance on non-biodegradable plastics and its generation of huge volumes of packaging. More than half of the industry's waste comes from fanciful packaging which includes plastic, paper, glass, and metals, all of which end up in landfills. Packaging aside, the skincare products themselves contain plastic which will be sent down the drain into the ocean, endangering marine life. As one of the leading players in this industry, Kalmia Group faces similar climate-related issues. In recent years, Kalmia Group has increased its efforts to go green and has executed several eco-friendly initiatives.

Acquisition of Lavender Limited ("Lavender")

On 1 July 2021, Kalmia paid HK\$8,304 million to acquire 80% shareholding in Lavender (the "Acquisition"). Lavender develops and markets natural and organic products licensed by several skincare brands. Prior to the Acquisition, Kalmia had a few wholly-owned subsidiaries. Lavender has then become the only non-wholly-owned subsidiary within Kalmia Group, and this Acquisition was the only acquisition of subsidiary that took place during the year ended 30 June 2022.

At the date of acquisition, Lavender had a share capital of HK\$4,250 million and retained earnings of HK\$5,500 million. On 1 July 2021, the fair value of Lavender's recorded net assets was equal to their carrying amounts:

	HK\$ million
Property, plant and equipment	7,500
Patents	1,400
Inventories	2,420
Trade receivables	3,000
Cash	2,080
Trade and other payables	6,650

Lavender had a number of internally generated brands and had a fair value of HK\$600 million as at 1 July 2021. These brands had indefinite useful life and were not impaired. Kalmia chose to measure the non-controlling interest in Lavender at their proportionate share of the fair value of Lavender's net identifiable assets at the acquisition date.

Lavender recorded HK\$1,700 million profit after tax for the year ended 30 June 2022. Lavender declared and paid dividends in December 2021.

Financial information of Kalmia Group

Since January 2022, a few companies within Kalmia Group have started offering refilling options which allow customers to return plastic cases and refill them with the same product. This initiative received positive responses and resulted in an increase in sales. Kalmia Group recorded HK\$74,610 million profit before tax and HK\$62,240 million profit after tax for the year ended 30 June 2022. During the year ended 30 June 2022, Kalmia Group incurred depreciation expense of HK\$14,500 million and amortisation expense of HK\$4,300 million. Kalmia declared and paid dividends in February 2022.

The consolidated statement of financial position of Kalmia Group as at 30 June is shown below:

	<u>2022</u>	<u>2021</u>
	HK\$ million	HK\$ million
<u>ASSETS</u>		
<u>Non-current assets</u>		
Property, plant and equipment	151,870	149,550
Intangible assets (excluding goodwill)	87,000	90,000
Goodwill	9,004	9,800
Financial assets measured at fair value through profit or loss	7,400	7,284
<u>Current assets</u>		
Inventories	22,900	12,400
Trade receivables	30,540	18,200
Cash and cash equivalents	41,882	20,396
Total assets	<u>350,596</u>	<u>307,630</u>
<u>EQUITY AND LIABILITIES</u>		
<u>Equity</u>		
Share capital	8,330	8,330
Retained earnings	304,900	272,000
Non-controlling interest	2,250	-
<u>Current liabilities</u>		
Trade and other payables	35,116	27,300
Total equity and liabilities	<u>350,596</u>	<u>307,630</u>

To achieve the goal of reducing the energy intensity of its manufacturing processes by 2.5% per year, Kalmia Group paid cash to purchase several energy-efficient machines in February 2022. There was no disposal of any property, plant and equipment items. While there was no purchase of intangible assets (excluding goodwill) during the year ended 30 June 2022, Kalmia Group disposed of acquired patents with a loss of HK\$300 million.

While water is essential in manufacturing skincare products, it is increasingly precious and has become less abundant, posing a threat to the sector. Since 2021, Kalmia Group has been investing in environmental technology start-ups which develop unique water-saving solutions. Such equity investments, represented as financial assets in the financial statements above, recorded an increase in fair value of HK\$12 million during the year ended 30 June 2022. Kalmia Group continued to purchase minority investments in similar start-ups with the objective of saving water, and there was no disposal of financial assets. These start-ups have not distributed any dividends yet.

It is the policy of Kalmia Group to classify dividends paid as a financing cash flow.

Acquisition targets

Kalmia Group established a new goal of reducing the amount of petroleum plastic in packaging to 50% or less by the end of 2030. To reach this goal, Kalmia plans to invest in a petrochemical company to bring recycled tube packages for its cosmetic products to the market. Two acquisition targets, Mayflower Limited ("Mayflower") and Nepeta Limited ("Nepeta"), have been identified. Both Mayflower and Nepeta are private entities, and their financing and operating activities are directed through equity voting rights. Kalmia is considering acquiring 48% shareholding in either Mayflower or Nepeta from an existing shareholder. The shareholding structure of Mayflower and Nepeta after Kalmia's potential acquisition would be as follows:

Mayflower

After Kalmia's acquisition, the other 30% of the shares would be held by a shareholder. The remaining 22% of the shares would be held by 11 shareholders, each holding 2%. At recent relevant shareholders' meetings, 60% of the voting rights have been cast.

Nepeta

After Kalmia's acquisition, the other 40% of the shares would be held by a shareholder. The remaining 12% of the shares would be held by another shareholder. At recent relevant shareholders' meetings, 88% of the voting rights have been cast.

None of the shareholders have contractual arrangements to consult any of the others or make collective decisions. Kalmia neither intends to acquire any instruments giving rise to potential voting rights nor intends to sign any contractual agreements with other shareholders.

Subscription of "green" debt instruments

The treasury function of Kalmia noticed that the cash balance of Kalmia Group increased significantly. To effectively manage its cash, on 1 October 2022 Kalmia purchased the following bonds:

Bonds A

The purpose of Bonds A is exclusively to finance a new green project relating to sustainable waste management. Bonds A carry a fixed interest rate payable semi-annually on 31 March and 30 September of each year up to and including the maturity date, which is on 30 September 2026.

Bonds B

The purpose of Bonds B is exclusively to finance a single green project (the "Project Q") in which the investors have direct exposure to the risk of Project Q. Though Bonds B carry a fixed interest rate payable semi-annually on 31 March and 30 September of each year up to and including the maturity date which is on 30 September 2026, the repayment of principal and interest payments on Bonds B are generated solely by the income from Project Q and are therefore significantly linked to the success of Project Q.

Kalmia paid handling and brokerage fees upon purchase of Bonds A and Bonds B. Kalmia does not intend to sell the instruments before maturity.

Question 1 (16 marks – approximately 29 minutes)

(a) Calculate, with supporting computations:

- the goodwill arising from the acquisition of Lavender; and
- the profit attributable to the non-controlling interest and the profit attributable to the owners of Kalmia presented on the consolidated financial statements of Kalmia Group for the year ended 30 June 2022.

(4 marks)

(b) Prepare extracts of the consolidated statement of cash flows of Kalmia Group for the year ended 30 June 2022, showing **ONLY** the cash flows from investing AND financing activities. You must show supporting calculations.

(12 marks)

Question 2 (16 marks – approximately 29 minutes)

You are Chris Wong, the Accounting Manager of Kalmia. Some of the directors have suggested that the proposed acquisitions of Mayflower and Nepeta should not be classified as Kalmia's subsidiaries in the consolidated financial statements based on Kalmia's ownership percentage; while some of the directors commented that it was not as simple as suggested. Wendy So, the Chief Finance Officer of Kalmia, has asked for your assistance so that she can update the board members.

Required:

Prepare a report for Wendy analysing how the investments in Mayflower and Nepeta should be classified when preparing the consolidated financial statements of Kalmia Group.

Note: A maximum of 2 marks will be awarded for communication skills.

(16 marks)

Question 3 (10 marks – approximately 18 minutes)

Advise on how Bonds A and B should be classified and how the handling and brokerage fees relating to each of the subscriptions should be accounted for in the financial statements of Kalmia.

(10 marks)

Question 4 (8 marks – approximately 14 minutes)

With reference to the information provided in the case, describe, with appropriate examples, the relevant disclosure requirements which are on a "comply or explain" basis when Kalmia Group prepares its Environment, Social and Governance ("ESG") report under the listing rules of the Hong Kong Stock Exchange.

(8 marks)

* * * * *

End of Section A

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

Question 5 (18 marks – approximately 33 minutes)

Chill Limited ("CL") is a company incorporated in Hong Kong and listed on the Hong Kong Stock Exchange Limited ("HKEx"). It has a 31 March financial year end. The management of CL is looking into the accounting treatment of various remuneration arrangements below:

- (a) On 31 May 2023, the board approved to set aside a discretionary 13th month bonus for employees for the financial year ended 31 March 2023 to the amount of HK\$3 million in aggregate. Similar to all years since the company was established, the amount is expected to be paid in July 2023, after the financial statements are approved and authorised for issue on 30 June 2023.
- (b) As part of the incentive to retain some of the top performers, another special bonus for specific individuals totalling HK\$5 million was approved and communicated on 1 April 2022. However, this sum will not be payable until 1 April 2026, and the employees will still need to remain employed by CL at the time of payment otherwise they receive nothing under this scheme.
- (c) On 1 April 2022, CL rolled out a bonus scheme under which the employees of the sales team would be entitled to a cash bonus that is equal to the value of 1,000 shares of CL on the settlement date of 30 June 2026, provided they meet the annual sales target each year and remain employed by CL at the time of settlement.

The Finance Director of CL, Alvis Au has asked you for assistance in preparing for the upcoming discussion at the board. In particular, some of the board members have asked whether the financial statements should only report these transactions at the time of settlement.

Required:

Advise how each of the above should be accounted for in the financial statements of CL, in particular for the year ended 31 March 2023.

You should explain the key issue for each with reference to the applicable financial reporting standard(s) with an aim to address the comments from some of the board members as above.

No calculation is required. You are also not required to discuss impact of vesting and non-vesting conditions, where applicable.

Note: A maximum of 2 marks will be awarded for analytical skills.

(18 marks)

Question 6 (15 marks – approximately 27 minutes)

Dodo Group Limited ("DGL") is a multinational conglomerate which has a financial year end date of 31 March. During the year DGL entered into a number of financing arrangements, all of which would not have occurred if the corresponding expenditure had not been made.

Loan A

On 1 July 2022, DGL borrowed a loan of HK\$100 million (Loan A) from Baby Shark Bank ("BSB"). The loan was intended to fund the acquisition of a property, which DGL intended to lease out to third parties when the purchase was completed. The property was newly constructed and already fully renovated.

Management considered the finance cost incurred on Loan A should be capitalised to the cost of the property because it is directly attributable to the acquisition of the property.

Loan B

On 30 September 2022, DGL undertook a project to construct a residential complex. The project is expected to take three years. DGL will enter into sales contracts of the underlying units with customers only upon completion of construction and control will only be passed to the customers at that time. To finance the project, DGL borrowed another loan (Loan B) from BSB of HK\$200 million.

In November 2022, construction of the residential complex had to be suspended due to seasonal flooding which is typical in the region. Construction resumed in December 2022.

Management proposed that the finance cost incurred should be capitalised because it is directly attributable to the construction of the residential complex, but capitalisation would be suspended for November 2022 because the work was stopped.

Loan C

In view of sudden increase of Christmas orders for its robotic toys, DGL decided to meet the demand by increasing its capacity temporarily. To facilitate the cash flow, DGL further borrowed HK\$25 million from BSB in October 2022 in order to cover the additional payroll and materials needed for the extra production.

The first prototype of the robotic toys was created after two years of research and development before mass production commenced in August 2022.

Management believed that the finance charge should be capitalised as part of the cost of the robotic toys because it took two years to develop the robotic toys.

Required:

Advise whether you agree with management regarding the treatment of the borrowing costs in each of the above scenarios.

(15 marks)

Question 7 (17 marks – approximately 30 minutes)

Solid Rock Limited ("SRL") is a property developer with a financial year end date of 31 December. The financial controller of SRL, Stephen Lam, is considering the accounting treatment of some of the properties owned by SRL.

Property A is a residential unit leased to SRL's CEO at nominal rent. In March 2022, in anticipation of the CEO's departure, the Board approved making the property available for lease in the market. In August 2022, the property was vacated by the CEO and SRL arranged for property agents to advertise the availability of the property.

Property B is another residential unit which had been leased to a third party. Being notified that the tenant is not intending to renew the lease on expiry in July 2022, the Board approved in June for the property to be sold in SRL's normal course of business. The property was vacated in July 2022.

SRL also held some office building units for lease to third parties in general.

SRL applies revaluation model to its property, plant and equipment and fair value model to its investment properties.

Tax rates applicable in the jurisdiction where SRL operates:

Profits tax: 16.5%

Capital gains tax: 0%

Under the tax rules, upon disposal of properties, all capital allowances previously claimed will be recouped when calculating assessable profits for profits tax purposes.

Required:

(a) Advise on and explain the classification of both Property A and Property B for the six months ended 30 June 2022 and the year ended 31 December 2022.

(12 marks)

(b) Explain what tax rate(s) should be used in the calculation of deferred tax arising from the office building units that are leased to third parties. (Land portion is to be ignored in your answer.)

(5 marks)

* * * END OF EXAMINATION PAPER * * *